Entrepreneurial Motives & Characteristics

Exam code: 9BS0

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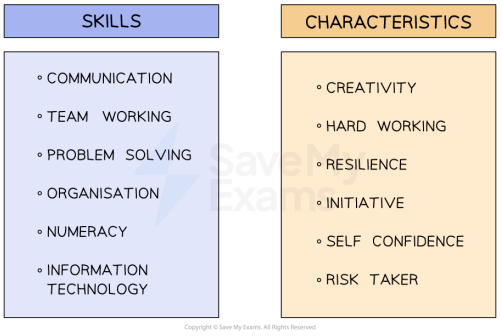
Updated on 28 August 2025

Characteristics and skills required by entrepreneurs

- Entrepreneurs require a **unique set of characteristics and skills**

Entrepreneurial skills and characteristics



The skills and personal characteristics commonly required by entrepreneurs

- The characteristics have been explained through the different sections in 1.5.1
- Perhaps one of the most valuable skills of an entrepreneur is the ability to **communicate persuasively**:
  - Persuade potential financial backers of the merits of their idea
  - Persuade people to join them in creating the product/service
  - Persuade customers of the value of their product/service
- All of these skills work together to **create and drive an innovative idea** towards success

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

Reasons why people set up businesses

Financial and non-financial reasons for setting up a business

Financial reasons	Explanation	Example
Profit maximisation	• People want to create a profitable business that generates substantial **revenue and profit** for themselves and their shareholders	• **Amancio Ortega**, the founder of **Zara**, built a fast-fashion empire that has become one of the **most profitable clothing retailers** in the world
Profit satisficing	• Occurs when the entrepreneur is not solely focused on maximising profits but rather achieving a **satisfactory level of profit** • This is common among small businesses, in which the owner may prioritise their **work-life balance**	• **Yvon Chouinard,** the founder of **Patagonia**, created a successful outdoor clothing and gear company that was initially built to **help finance his climbing expeditions**
Non-financial reasons	**Explanation**	**Example**
Ethical stance	• Some entrepreneurs may have a particular ethical stance **(e.g. environmental sustainability or social justice)** that they want to build their business around	• **Anita Roddick** started The Body Shop, as she wanted to create a company that would promote **environmental sustainability, fair trade** and human rights

Help me understand

	business that **seeks to address a social or environmental problem** while also earning a living	**TOMS Shoes**, created a business model that donates a pair of shoes to a child in need for every pair sold
Independence	• Many people want to be their own boss and have control over their work • They may be **dissatisfied with traditional employment structures** or desire the freedom and flexibility that comes with running their own business	• **Travis Kalanick and Garrett Camp**, the co-founders of Uber, started their business with a **desire for independence** and the ability to work from anywhere
Home working	• With the advent of technology, many people have started businesses from their homes, and this offers them **more flexibility** and a better work-life balance	• **Sara Sutton**, the founder of **FlexJobs,** had a desire for independence and the ability to work from home, and this led her to create a successful online job board that **specialised in remote and flexible work** opportunities

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